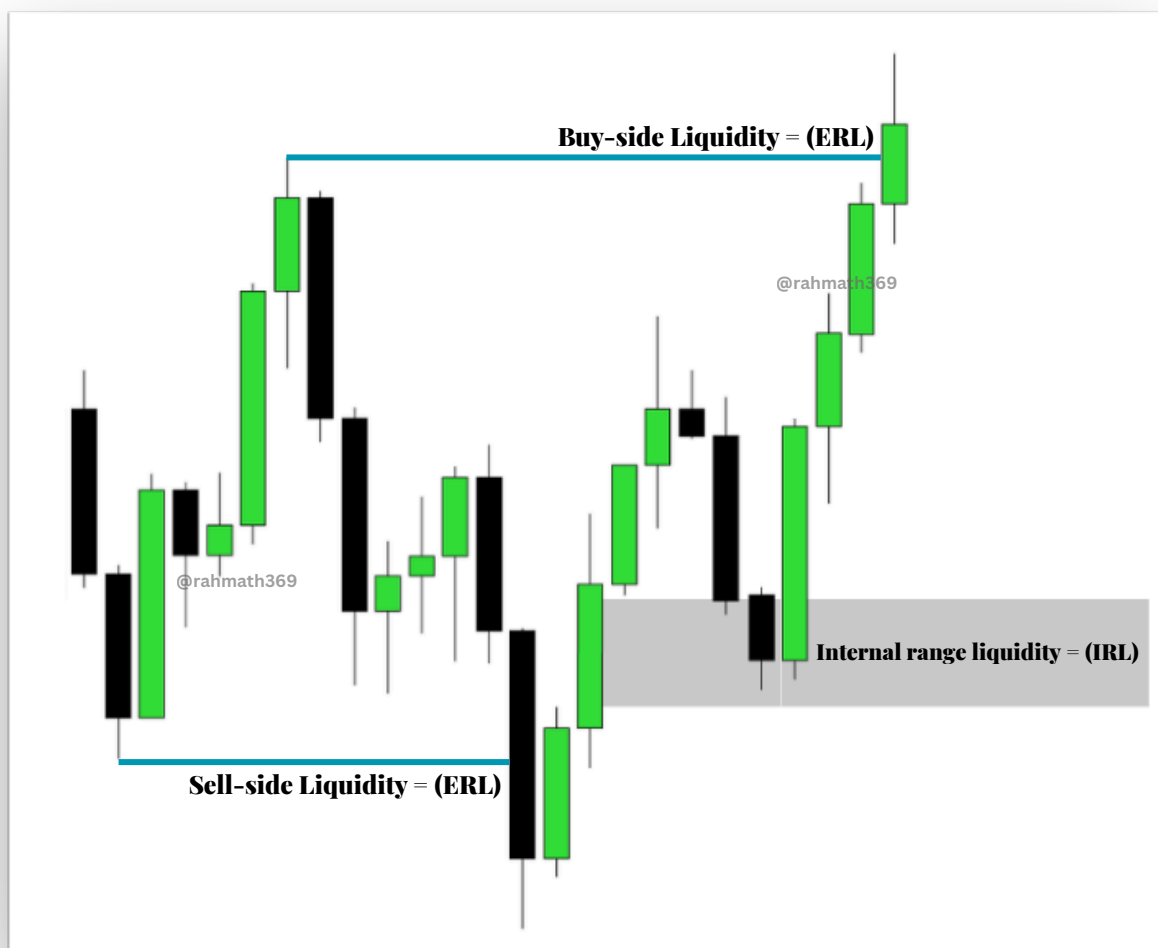


Mastering ICT Liquidity

The most important lessons in ICT



A Complete Guide



What is Liquidity?

liquidity refers to areas in the market where a high number of orders (stop losses, buy stops, and sell stops) are resting.

Smart money (institutions, banks, and market makers) often target these areas to fuel price movement.

These areas attract price like a magnet.

The market runs entirely on liquidity.

Every trade needs a willing buyer or seller on the other side.

The market runs entirely on liquidity.

@rahmath369

Buy-side Liquidity

Buy-Side Liquidity refers to areas in the market where buy orders (like stop losses or breakout orders) are clustered, often above old highs or equal highs.

These levels attract liquidity for large players to sell into, often causing price reversals after the liquidity is taken.



Sell-side Liquidity

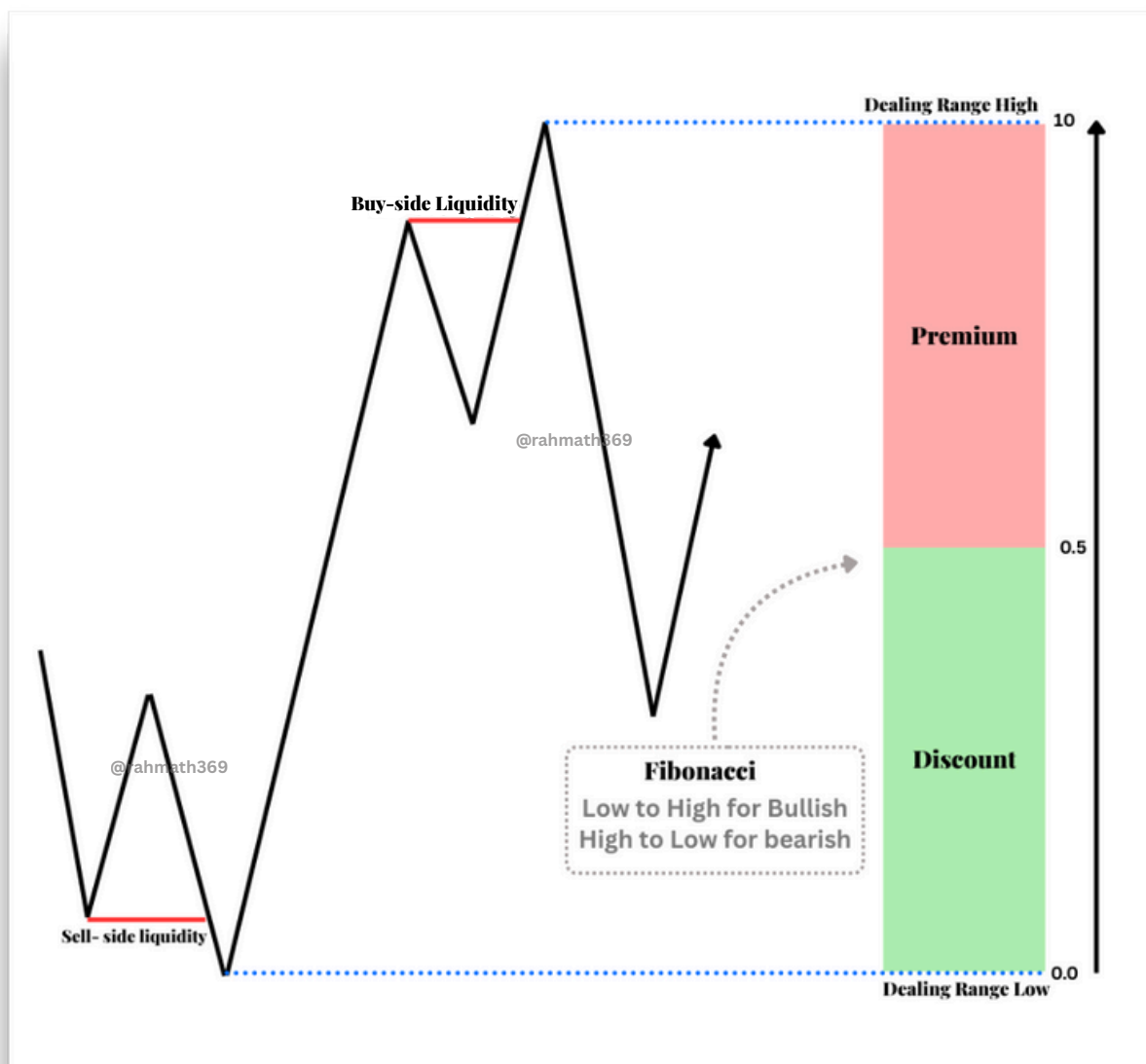
Sell-Side Liquidity refers to areas in the market where sell orders (like stop losses or breakout orders) are clustered, often below previous lows or equal lows.

These levels attract liquidity for large players to buy into, often causing price reversals after the liquidity is taken.



What is ICT Dealing Range?

ICT dealing range is basically the area between an established Swing Low (which has taken the liquidity of an old low) and an established Swing High (which has taken the liquidity of an old high).



Most important ICT liquidity pools

Previous Highs & Lows

(Monthly, Weekly, Daily, Session-based)

Equal Highs or Lows

(Double tops/bottoms are liquidity traps)

Consolidation zones

(Accumulation of resting orders)

Fair Value Gaps & Imbalances

(Price may rebalance by seeking liquidity)

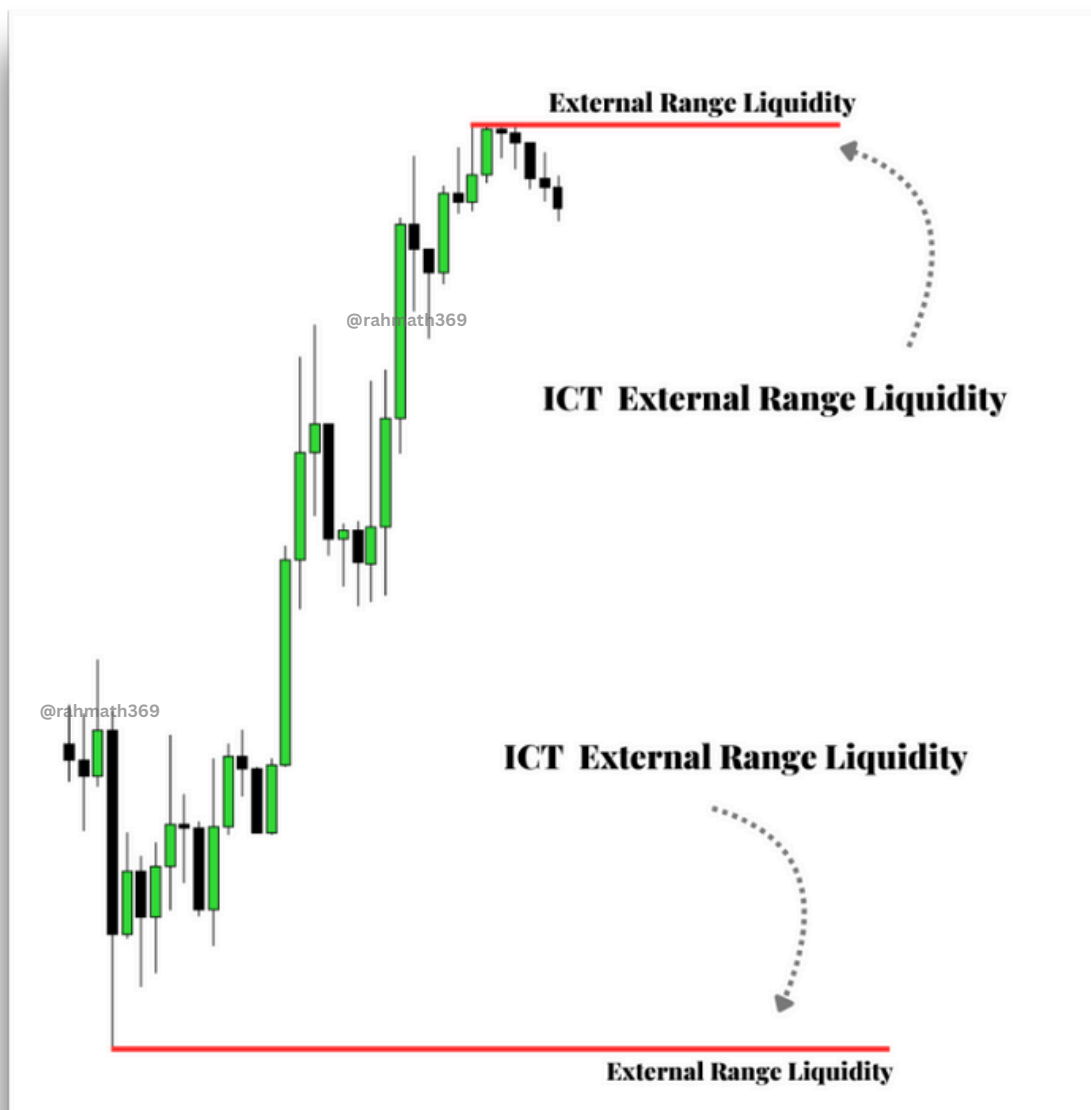
News release spikes Data highs & low

(Perfect moments to trigger orders)

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What is ICT External Range Liquidity?

The highs and lows of any dealing range are termed as external range Liquidity



ICT External Range Liquidity Notes

Found above highs or below lows of a defined range.

Typically represents stop loss clusters from retail traders.

Smart money targets these levels for liquidity grabs.

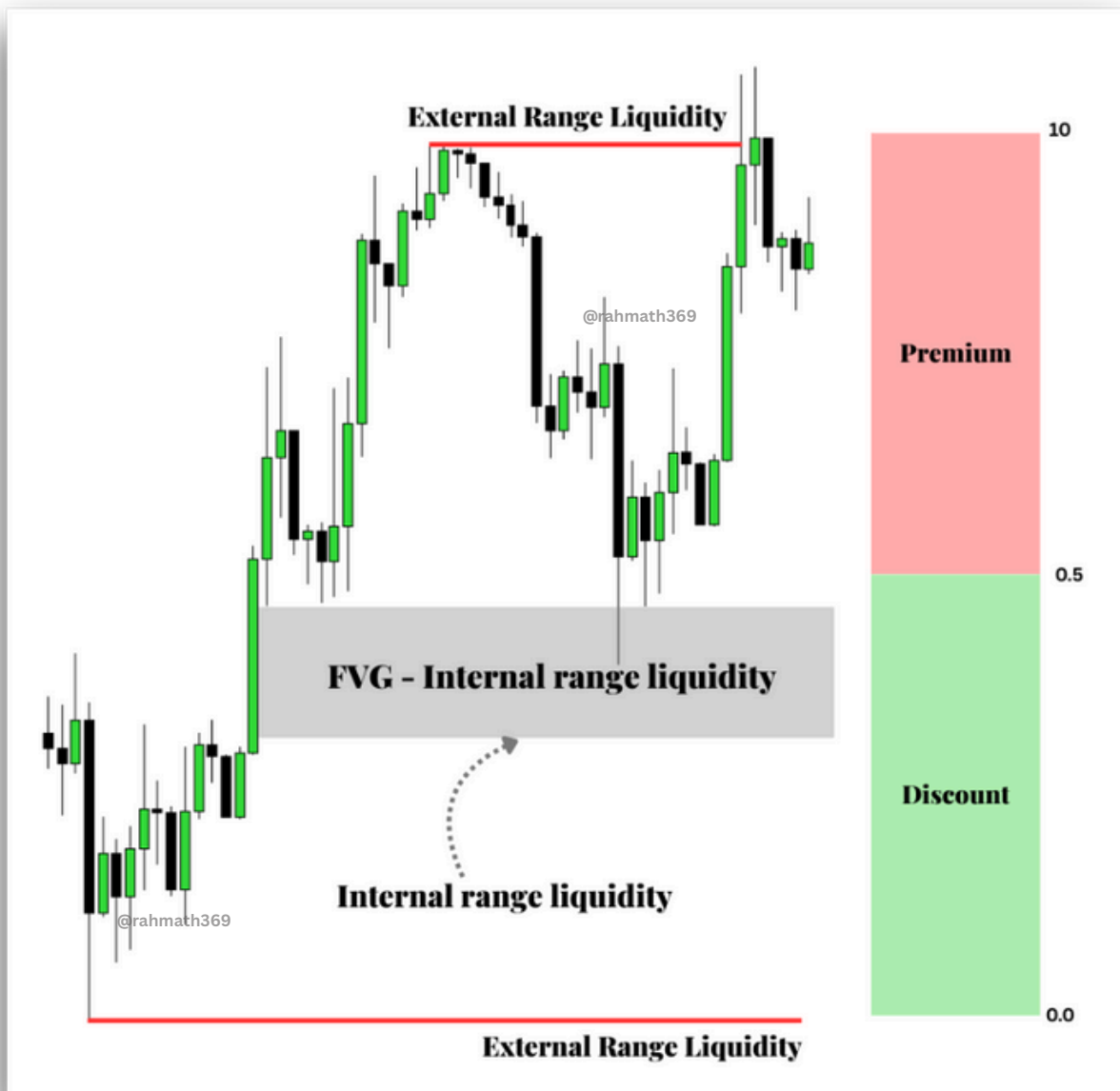
Often leads to a reversal or shift after being swept.

Think of ERL as the “obvious” liquidity — sitting just outside the range.

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What is ICT Internal Range Liquidity?

Internal range liquidity is defined by the FVG between the dealing range.



ICT Internal Range Liquidity Notes

Found within the range — usually near equal highs/lows, order blocks, or consolidation zones.

Often used for continuation moves, not reversals.

Seen as resting liquidity from indecision or accumulation

Think of ERL as the “obvious” liquidity — sitting just outside the range.

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